THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

COMPANY PETITION NO. CA (CAA)-160 (ND)/ 2018

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of

Scheme of Amalgamation

of

Havells Global Limited — Transferor Company no.1

AND

Standard Electrical Limited — Transferor Company no.2

AND

Lloyd Consumer Private Limited — Transferor Company no.3

AND

Promptec Renewable Energy Solutions Private Limited

Transferor Company no.4

WITH

Havells India Limited Transferee Company

Judgment delivered on: ***06.12.2018***

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

Mr. S. K. MOHAPATRA, Hon'ble Member (T)

For Applicants: Ms. Shweta Bharti, Advocate

Mr. J.K. Chaudhary, Advocate

Ms. Sweta Shikha, Advocate

Ms. Katyani Mahendru, Advocate

ORDER

S .K. Mohapatra, Member

1. This application has been jointly filed by the Applicant Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate orders/directions for dispensing with /convening the respective meetings of shareholders, secured creditors and unsecured creditors of the applicant companies, in connection with the proposed Scheme of Amalgamation contemplated between the applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint application.

2. It is represented that the registered offices of Transferor companies No. 1,2,3 and transferee company are situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench. It is pertinent to note here that the registered office of transferor company no.4 is situated in Bangalore, in respect of which a first motion application was filed before Bangalore Bench. Pursuant to the order dated

11.10.2018 passed by this Bench, the first motion application filed by transferor company no.4 before the Bangalore Bench was withdrawn and a fresh application was accordingly filed by the transferor company no.4 before this Bench and both the applications were consolidated vide order dated 02.11.2018. An amended memo of parties in C.A (CAA) 160/PB/2018 was also filed by all the five applicant companies.

3. M/s Havells Global Limited (Transferor Company No.1) was incorporated on 04.07.2016 under the provisions of the Companies Act, 2013. The present Authorized Share Capital of the Transferor Company no.1 is Rs. 5,00,000/- divided into 50,000 Equity Shares of Rs. 10/- each. The present Issued, Subscribed and paid-up Share Capital of the Company is Rs. 5,00,000/- divided into 50,000 Equity Shares of Rs. 10/- each. The registered office of the Transferor Company no.1 is situated at 904, 9th floor Surya Kiren Building, KG Marg, Connaught Place-New Delhi-110001.

4. It is submitted that the transferor Company no. 1 has 07 Equity Shareholders and all the equity shareholders have given their consent affidavits to the Scheme constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor company No. 1 has no secured creditor and no unsecured creditors. The certificates of chartered accountant

in respect of creditors have also been placed on record. As the company has no secured creditor and no unsecured creditor, the requirement of convening of their respective meetings does not arise. In relation to the shareholders, the transferor company no.1 seeks dispensation from convening and holding of their meeting on the ground that all the shareholders of the transferor company no. 1 have given consent affidavits in favour of the Scheme.

5. M/s Standard Electrical Limited (Transferor Company no.2) was incorporated on 12.09.2016 under the provisions of the Companies Act, 2013. The registered office of the Company is situated at 904, 9th floor Surya Kiren Building, KG Marg, Connaught Place-New Delhi-110001. The Authorized Share Capital of the company is Rs. 5,00,000/- divided into 50,000 Equity Shares of Rs. 10/- each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 5,00,000/- divided into 50,000 Equity Shares of Rs. 10/- each.

6. It is submitted that Transferor Company No. 2 has 7 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor Company No. 2 has no secured creditor and

no unsecured creditors. Certificate of chartered accountant in respect of creditors has also been placed on record. Since the transferor company no.2 has no secured and no unsecured creditor, the requirement of convening of their respective meetings does not arise. In relation to the shareholders, the transferor company no.2 seeks dispensation from convening and holding of their meeting, on the ground that all the shareholders have given their consent affidavits in favour of the Scheme.

7. M/s Lloyd Consumer Private Limited (Transferor Company no.3) was incorporated on 05.05.2017 as a private limited company. The registered office of the Company is situated at 904, 9th floor Surya Kiren Building, KG Marg, Connaught Place-New Delhi-110001. The Authorized Share Capital of the company is Rs. 5,00,000/- divided into 50,000 Equity Shares of Rs. 10/- each. The Issued, Subscribed and Paid-up Share Capital of the Company is 5,00,000/- divided into 50,000 Equity Shares of Rs. 10/- each.

8. It is submitted that Transferor Company No. 3 has three Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor Company No. 3 has no secured creditor and no unsecured creditor. Certificate of chartered accountant in respect of

creditors has also been placed on record. Since the transferor company no.3 has no secured and no unsecured creditor the requirement of convening of their respective meetings does not arise. In relation to the shareholders, the transferor company no.3 seeks dispensation from convening and holding of their meeting, on the ground that all the shareholders have given their consent affidavits in favour of the Scheme.

9. M/s Promptec Renewable Energy Solutions Private Limited (Transferor Company no.4) was incorporated on 04.09.2008 as a private limited company. The registered office of the Company is situated at Shibra Farms, Nagasandra main Road, 8th Mile, Tumkur Road, Banglore, Karnataka-560073. The Authorized Share Capital of the company is Rs. 3,00,00,000/- divided into 30,00,000 Equity Shares of Rs. 10/- each and preference share capital of Rs. 55,00,000/- divided into 5,50,000 preference shares of Rs. 10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 2,63,62,260/- divided into 26,36,226 Equity Shares of Rs. 10/- each.

10. It is submitted that Transferor Company No. 4 has four Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further

represented that the transferor Company No. 4 has no secured creditor and 130 unsecured creditors. Certificate of chartered accountant in respect of creditors has also been placed on record. Since the transferor company no.4 has no secured creditor the requirement of convening of their meeting does not arise. In relation to the shareholders, the transferor company no.4 seeks dispensation from convening and holding of their meeting, on the ground that all the shareholders have given consent in favour of the Scheme. In relation to the unsecured creditors of transferor company no.4, a prayer has been made for issuance of directions to convene their meeting.

11. M/s Havells India Limited (Transferee Company) was incorporated on 08.08.1983 as a limited company. The registered office of the Company is situated at 904, 9th floor Surya Kiren Building, KG Marg, Connaught Place-New Delhi-110001. The Authorized Share Capital of the company is Rs. 100,05,00,000/- divided into 100,05,00,000 Equity Shares of Rs. 1/- each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 625,148,473/- divided into 625,148,473 Equity Shares of Rs. 1/- each.

12. It is submitted that Transferee Company is a listed company and has 625,148,473 issued, subscribed and paid-up shares having face value of Rs. 1/- each. The Transferee Company has placed its shareholding pattern at Annexure-A-31 of the joint application. It is further submitted that the

transferee company has 1 secured creditor and 4656 unsecured creditors. Certificate of chartered accountant in respect of creditors has also been placed on record. In relation to the equity shareholders, secured creditors and unsecured creditors of the transferee company, a prayer has been made for issuance of direction for convening and holding of their respective meetings in order to obtain their consent in favour of the Scheme.

13. We have perused the joint applications and the connected documents / papers filed herewith including the Scheme of Amalgamation as contemplated between the Applicant companies.

14. It is seen that the board of directors of all the five applicant companies vide separate meetings, held on 6th September 2018, 19 September 2018 and 21 September, 2018, respectively have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed thereat have been placed on record by the companies.

15. All the applicants have filed their respective Memorandum and Articles of Associations. The applicants have also filed their latest audited financial statements for the year ending 31.03.2018.

16. It is submitted that the proposed merger is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same

if sanctioned by this Tribunal, the appointed date as provided in the Scheme shall be April 1st, 2018.

17. All the companies have submitted that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 is pending against applicant companies.

18. It is pertinent to state here that certificates of statutory auditors of all the applicant companies have been placed on record confirming that the accounting treatment in the scheme is in is in conformity with Section 133 of the Companies Act, 2013.

19. Further, it has been stated in the application that the Scheme will be beneficial to all the applicant companies and their respective shareholders, employees, creditors and other stake holders.

20. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued: -

A. In relation to the Transferor Company no.1:-

(i) *The meeting of Equity Shareholders is dispensed with as there are seven equity shareholders in the company and all of their consent affidavits in favour of the Scheme have been placed on record.*

(ii) The meeting of Secured creditors is also dispensed with because there is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

(iii) The meeting of unsecured creditors is also dispensed with because there is no unsecured creditor in the company and therefore, the requirement of convening meeting of unsecured creditors does not arise.

B. In relation to the Transferor Company No.2:-

(i) The meeting of Equity Shareholders is dispensed with as there are only seven equity shareholders in the company and all of their consent affidavits in favour of the Scheme have been placed on record.

(ii) The meeting of Secured creditors is also dispensed with because there is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

(iii) The meeting of unsecured creditors is also dispensed with because there is no unsecured creditor in the company and

therefore, the requirement of convening meeting of unsecured creditors does not arise.

C. In relation to the Transferor Company No.3:-

(i) *The meeting of Equity Shareholders is dispensed with as there are only three equity shareholders in the company and all of their consent affidavits in favour of the Scheme have been placed on record.*

(ii) The meeting of Secured creditors is also dispensed with because there is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

(iii) The meeting of unsecured creditors is also dispensed with because there is no unsecured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

D. In relation to the Transferor Company No.4:-

(i) *The meeting of Equity Shareholders is dispensed with as there are only four equity shareholders in the company and*

their consent affidavits in favour of the Scheme have been placed on record.

(ii) The meeting of Secured creditors is also dispensed with because there is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

(iii) The meeting of the unsecured creditors of the transferor company no.4 is directed to be held at Sri Satya Sai International Centre, Pragati Vihar, Lodhi Road, New Delhi-110003, on 28.01.2018 at 3:00 P.M. The quorum of the meeting shall be 70 in number or 75% in value.

E. In relation to the Transferee Company:-

(i) The meeting of the equity shareholders of the transferee company is directed to be held at Sri Satya Sai International Centre, Pragati Vihar, Lodhi Road, New Delhi- 110003, on 28.01.2018 at 10:30 A.M. The quorum of the meeting shall be 200 in number or 75% in value.

(ii) The meeting of the sole secured creditor of the transferee company is directed to be held at Sri Satya Sai

International Centre, Pragati Vihar, Lodhi Road, New Delhi-110003, on 28.01.2018 at 2:00 P.M.

(iii) The meeting of the unsecured creditors of the transferee company is directed to be held at Sri Satya Sai International Centre, Pragati Vihar, Lodhi Road, New Delhi- 110003, on 28.01.2018 at 12:30 P.M. The quorum of the meeting shall be 200 in number or 75% in value.

C. Mr. Jaideep Tondon, Advocate (Mobile No. 9810070237) is appointed as the Chairperson and Ms. Shivani Gupta, Advocate (Mobile No. 8840769824) is appointed as the Alternate Chairperson and Mr. Anand Rao Korada, Company Secretary (Mobile No.9874264647) is appointed as Scrutinizer for the aforesaid four meetings in terms of directions issued herein.

D. In case the quorum as noted above for the aforesaid meetings are not present at the meetings, then the meetings shall be adjourned by half an hour, and thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered offices of the transferor company no. 4 and Transferee

Company at least 48 hours before the meetings. The Chairperson and Alternate Chairperson appointed herein along with scrutinizer shall ensure that the proxy registers are properly maintained.

E. The fee of the Chairperson for the aforesaid meetings shall be Rs. 1,25,000/- , the fee of the Alternate Chairperson shall be Rs. 1,00,000/- and the fee of the Scrutinizer shall be Rs. 1,00,000/- in addition to meeting their incidental expenses. The Chairperson will file its reports within a week from the date of holding of the above meetings.

F. That the transferor company no.4 and the Transferee Company shall publish advertisement with a gap of at least 30 days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in Delhi and Bangalore editions of 'Business standard' English edition and "Jansatta" Hindi edition stating that the copies of Scheme, the explanatory statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the transferor company no.4 and Transferee Company.

G. Voting shall be allowed on the proposed Scheme by voting in person, by proxy, through postal ballot or through electronic means as may be

applicable for the aforesaid four meetings in terms of the provisions of the Companies Act, 2013 and Rules framed there under.

H. The companies shall individually send notice to Central Government through Regional Director both Northern as well as Southern Region, Ministry of Corporate Affairs, the Income Tax Authorities, Registrar of Companies National Capital Territory of Delhi and Haryana, Registrar of Companies, Karnataka, Official Liquidator at High Court of Delhi and official liquidator at Karnataka High Court, along with copy of relevant documents and disclosures as required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

I. The transferor company no.4 and the Transferee Company shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every unsecured creditors of transferor company no.4 and equity shareholders and creditors of the Transferee Company entitled to attend the meetings as aforesaid.

J. The authorized representative of the transferor company no.4 and the authorized representative of the Transferee Company shall furnish an affidavit of service of notice of meetings and publication of advertisement

and compliance of all directions contained herein at least a week before the proposed meetings.

K. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

The application stands allowed in the aforesaid terms.

Let the copy of the order be served to the parties.

—Sd—

(M.M. KUMAR)

PRESIDENT

—Sd—

(S. K. MOHAPATRA)

MEMBER (T)

Deepak Kumar